Why Small Warehouses Win

By Dana Reed · Logistics Quarterly, Spring 2025

For decades the orthodoxy in distribution was simple: bigger is better. A single enormous facility, the argument went, amortises fixed costs across more volume and lets operators automate at scale. Yet the last five years have told a different story, as **dense urban micro-fulfilment centres** have cut delivery times in half while keeping unit costs flat.

The shift is driven less by robotics than by geography. A warehouse eleven kilometres from the customer can promise two-hour delivery with ordinary vans; one that is eighty kilometres away cannot, no matter how clever its sorters. *Proximity, not throughput, has become the scarce resource.*

The numbers

Facility type	Sites	Avg. delivery	Cost / parcel
Regional hub	4	3.4 d	$2.10
Micro-fulfilment	31	0.9 d	$2.15
Dark store	12	0.4 d	$2.95

The table above summarises a survey of 47 operators across three countries. Micro-fulfilment sites deliver almost four times faster than regional hubs at a near-identical cost per parcel; dark stores are faster still, but their higher rents show in the margin.



Figure 1. Parcels per day by site type (indexed).

What changes next

Operators are now experimenting with hybrid networks: a few large hubs feeding dozens of small forward sites that hold only the fastest-moving tenth of the catalogue. Early results suggest the mix, not either extreme, is where the economics settle. Labour remains the open question, since small sites cannot easily justify automation and depend on flexible staffing.

Whatever the answer, the lesson of the past five years is clear enough: the map matters more than the machine.